markers of US overextension. As the wars dragged on without result, US alliances in both Western Europe and the Asia-Pacific suffered. China saw that US presence in East and South-East Asia had begun to diminish even as its own capabilities and profile had been steadily increasing.

The balance of power had begun to move in China's favour, but a shift in China's foreign policy posture became evident only after the US and Europe suffered a grievous setback from the global economic and financial crisis of 2008. There was a clear shift evident in China's foreign policy posture in leadership declarations and Party documents from 2009 onwards. The second phase had come to an end and a different dynamic came into play.

China's posture towards India during this second phase also reflects the sense of caution and a reluctance to confront India frontally on issues of divergence. China preferred to cultivate good relations with India, hoping to slow down India's drift towards a closer partnership with the US. There is a clear difference in approach before and after 2009 on China's part towards India.

For example, in 2008, China was opposed to India being given a waiver from the rules of the Nuclear Suppliers' Group (NSG), which would enable India to participate fully in international commerce in civil nuclear energy without having to sign on to the nuclear Non-Proliferation Treaty (NPT) of 1970. India was involved in an intense lobbying effort with the members of the NSG to ensure a consensus in its favour, knowing that even one negative vote could hold up a positive result. However, China never conveyed its opposition directly to India. When asked to support India's case at the NSG, Chinese leaders would convey that China supported cooperation in peaceful uses of nuclear energy with India but wanted to preserve the integrity of the global non-proliferation regime. The Chinese effort was not to take a lead on this issue but to encourage a group of staunch NPT supporters in the NSG, such as Ireland, New Zealand, Switzerland, Austria and the Netherlands, to oppose the waiver. When it became clear on the final day of negotiations at the NSG that these hold-out countries were going to drop their objections, China did not want to be the